

Lessons From the 2022 POST-COVID BEAR

WHAT HAPPENS DURING market sell-offs and crashes? It's worth examining when, how, and why they happen, as they present lessons to any investor who was paying attention.

We can take any significant bear market as an example, but let's use the one from the first quarter of 2020, as Covid-19 gripped the world. It barely took a month for markets to crash 34%—from February 19 to March 23, 2020. People dumped stocks in a panic, and then just as quickly panic-bought them back. Most lost money on the transaction, both selling and buying late, but at least they incurred giant capital gains tax bills for all their troubles.



Source: YCharts.

After a monstrous 68% recovery from the March 2020 pandemic low, and another nearly 30% gain in 2021, markets decided to have one of their all-too-regular spasms. Blame whatever you want—Too far, too fast? End of